

Beyond the Swap Line: The Practical Mechanics of RMB Settlement for Chinese Investors in Pakistan

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Pakistan now has three licensed banks clearing Chinese Yuan, a standing swap line with Beijing, and its first sovereign Panda Bond. Most coverage of this treats it as a chapter in de-dollarization, a geopolitical story about currencies competing with the dollar. That framing answers nothing for a Chinese manufacturer actually deciding how to invoice a Pakistani buyer or fund a local subsidiary. This insight sets that framing aside and asks a narrower, more practical question: which banks actually clear RMB in Pakistan today, what does a firm concretely save by using them, and where does the settlement system still run dry.

1. Context

Pakistan's RMB clearing infrastructure has been built in stages over roughly a decade. The State Bank of Pakistan first approved the Industrial and Commercial Bank of China (ICBC) to establish a local Yuan clearing and settlement mechanism in 2015, followed by Bank of China in 2018, and Standard Chartered Pakistan, the country's oldest foreign bank, was separately approved in March 2019 to open its own Yuan clearing and settlement setup (thenews.com.pk). The arrangement was formalised further in October 2023, when the People's Bank of China designated ICBC's Karachi branch as Pakistan's official RMB clearing bank, connecting Pakistan's offshore Yuan market directly to China's onshore market, on the same day a similar clearing bank was launched in Laos (english.news.cn). ICBC's Karachi branch had already become the first bank in South Asia admitted as a direct participant in China's Cross-Border Interbank Payment System, or CIPS, in 2020, and today offers RMB forwards, swaps, letters of credit, guarantees, and structured trade financing directly out of Pakistan (cgtn.com).

The volume moving through this infrastructure has grown accordingly. Pakistan's Yuan-denominated imports from China rose from 5.6 per cent of the total in 2016 to 19.1 per cent in 2025, and have reportedly reached close to 25 per cent in 2026 (chinapulse.com). In May 2026, Pakistan issued its first ever Panda Bond, a Yuan denominated sovereign instrument sold in China's own domestic bond market, raising RMB 1.75 billion, roughly USD 250 million, at a 2.5 per cent coupon over a three year tenor; the offering was more than five times oversubscribed against total bids of RMB 8.8 billion, and sits within a wider USD 1 billion programme supported by the Asian Development Bank and the Asian Infrastructure Investment Bank (dawn.com). Behind this sits a bilateral currency swap line between the State Bank of Pakistan and the People's Bank of China that has stood at RMB 30 billion, roughly USD 4.2 billion, since 2020 and was last renewed at that level in October 2024; in April 2025, Pakistan's Finance Minister formally requested that China raise the ceiling to RMB 40 billion, telling reporters Islamabad had already exhausted the existing facility (businessstoday.in).

2. Analysis

The immediate, practical benefit of this infrastructure is straightforward to price. Under the traditional route, a Pakistani importer buying Chinese machinery had to convert rupees into dollars and then dollars into RMB, absorbing two separate rounds of bank charges and two separate windows of exchange rate exposure. Direct RMB settlement through ICBC, Bank of China, or Standard Chartered removes one leg of that conversion entirely: a Pakistani buyer purchasing industrial equipment worth Rs50 million from a Chinese supplier can now settle directly in Yuan, cutting out the dollar intermediation step, reducing bank charges, and giving both sides more certainty over the final settled amount rather than exposure to a second currency movement during the transaction window. Industry practitioners in Karachi describe this as a genuine, quantifiable saving rather than a theoretical one, and are actively encouraging Pakistani counterparties to invoice in RMB rather than treating it as a slow or passive trend.

The more important finding for a Chinese investor, however, is structural rather than transactional, and it is where nearly all of the de-dollarization coverage stops looking. Pakistan runs a large and persistent bilateral trade deficit with China, importing far more than it exports; a Carnegie Endowment analysis of the bilateral currency relationship found that this deficit directly limits how much RMB the Pakistani banking system can accumulate organically through trade, since exporters simply do not earn enough Yuan to match what importers need to pay out (carnegieendowment.org). The same analysis identified three concrete, persistent gaps behind the clearing infrastructure's marketing: low awareness of cross border RMB operations among Pakistani firms, the continued absence of standard RMB denominated export credit, import credit, project financing, and short term working capital loans as products a firm can simply walk into a bank and request, and a clearing process that remains relatively complex in practice, which discourages exactly the mid sized firms this infrastructure is meant to serve.

Read together, the clearing licences and the swap line are two different layers doing two different jobs, and the distinction matters for a Chinese firm's planning. The clearing licences are commercial bank plumbing: they let a transaction be settled in Yuan on a given day. The swap line is a sovereign backstop between two central banks, designed to top up Pakistan's RMB liquidity when the trade driven pool runs short, not a product any individual company can draw on directly. Pakistan's own request to raise that backstop from RMB 30 billion to 40 billion, on the stated grounds that the existing facility had been exhausted, is the clearest available evidence that the organic, trade based pool of RMB liquidity in Pakistan's banking system remains thin, and that the settlement system currently depends on periodic central bank replenishment rather than a genuinely self sustaining local Yuan market.

3. Implications

For a mid sized Chinese manufacturer, the practical implication is that the existence of three licensed clearing banks should not be read as evidence of deep, on demand RMB liquidity in Pakistan. Settling an individual invoice in Yuan is now genuinely straightforward and cheaper than routing through the dollar. Financing that invoice, however, through RMB denominated trade credit, a Yuan letter of credit facility, or a short term working capital loan in RMB, remains a request a firm has to actively negotiate with its bank rather than a standard product it can assume is on the shelf, and the underlying liquidity behind any such facility ultimately traces back to a swap line that Pakistan has already had to ask China to enlarge once. In a period of renewed foreign exchange stress in Pakistan, a Chinese firm relying on RMB settlement should not assume that access will be immune to the same liquidity pressures that periodically affect dollar denominated transactions, since the swap line that underwrites it is itself a finite, renegotiable facility rather than a permanent feature of the system.

4. The Way Forward

Two practical steps follow. First, a Chinese firm evaluating Pakistan should ask its banking partner, whether ICBC, Bank of China, or Standard Chartered, precisely which RMB denominated financing products are actually available today, including trade credit, guarantees, and short term working capital lines, rather than assuming that clearing capability implies financing capability; the Carnegie findings on absent product lines suggest this gap has persisted for several years and should be tested directly rather than taken on faith. Second, the swap line drawdown pattern is itself a useful leading indicator worth monitoring: a renewal at a stable ceiling is routine, but a formal request to raise the ceiling, as Pakistan made in April 2025 after exhausting the existing facility (businessstoday.in), signals system wide RMB liquidity stress rather than routine housekeeping, and is the kind of practical, ground level detail that deserves closer and more continuous tracking than it currently receives.

About the Author

Reza Khan is a researcher with an M.Phil. in Government and Public Policy from the National Defence University, Islamabad, and an MBA in Finance. His professional experience spans business strategy, international trade, economics and organizational leadership, and he has taught Development Economics, Microeconomics and Supply Chain Management at the University of London Global MBA programme. His analytical interests include public policy, governance, strategic communication and the interaction between technology, institutions and society.

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